

PITCH — GIII — VERDICT

PROPOSED — PENDING ADJUDICATION — Buy a half-size starter (0.45% of book) in G-III Apparel at \$27.43 or better, but only after one specific number is pulled from the fiscal-2025 annual report; if that number comes back near 34%, this is a value trap and we buy nothing.

What we believe

G-III sells branded clothing wholesale. For years its biggest revenue lines were licensed Calvin Klein and Tommy Hilfiger product, and those licenses are expiring. Fiscal 2026 revenue was about \$2.96 billion; roughly 28% of it — about \$828 million — was Calvin Klein and Tommy Hilfiger. The company has told the market it loses about \$460 million of that in the current fiscal year and the remaining ~\$360 million dies on 31 December 2026. Revenue is falling about 9% and will fall again.

Our belief is that **the revenue leaving is close to worthless**, and that the market is pricing the revenue, not the profit.

The evidence: in the quarter just reported, revenue fell \$59.2 million year over year and gross profit fell \$90 thousand. Not \$9 million — ninety thousand dollars. That means the revenue that walked out the door carried an incremental gross margin of about 0.15%. Across the first half, stripping out a one-time \$102.8 million tariff-refund credit that sits entirely in the first quarter's cost of goods, revenue fell \$106.8 million and gross profit fell \$1.7 million — a 1.6% incremental margin. If that is the true economics of the expiring business, then losing the remaining \$360 million next year costs almost nothing in profit, and a stock trading at roughly 6.9x enterprise value to EBITDA is not a melting ice cube — it is a company whose sales line is shrinking to reveal the profitable part.

Two supporting facts. First, management **raised** the year's earnings guidance in the middle of the cliff: on 12 March 2026 they guided to \$2.00–2.10 of adjusted earnings per share and \$158–162 million of adjusted EBITDA; on 2 September 2026 they guided to \$2.20–2.30 and \$174–178 million — a ~10% earnings raise with the revenue guide unchanged at \$2.71 billion and the license loss unchanged. You do not usually raise earnings while losing a third of your revenue unless the revenue you are losing was carrying no margin. Second, the balance sheet: \$529.2 million of cash against \$7.8 million of reported debt before the Marc Jacobs deal, and inventory down 13%.

Marc Jacobs, closed 1 September 2026, is a separate and mostly unpriced item. G-III put in about \$500 million of cash and revolver borrowings, bought the operating business, and holds 50% of a joint venture with WHP Global that owns the trademark; G-III operates under a license running to December 2041 with ten automatic renewals and blocking rights on major decisions. Management explicitly excluded it from guidance and called it “slightly dilutive” in fiscal 2027. We treat it as worth zero this year and as an unpriced option thereafter — which is roughly how the stock is treating it.

At \$27.425 and 44.338 million diluted shares, the market capitalization is about \$1,216 million. With cash roughly offsetting the deal outlay, enterprise value is about the same. That is 12.2x this year's guided earnings and 6.9x guided EBITDA.

What the market believes

The market believes it is looking at a licensee losing its licenses. Revenue is down 8.2% in Q1, 9.7% in Q2, and guided down about 12% in Q3. First-half adjusted net income fell 86%, from \$19.6 million to \$2.8 million — six cents a share — against a full-year promise of \$2.20–2.30. That means about 97% of the year's promised profit sits in two quarters that have not happened yet. The company has just spent \$500 million of its cash cushion on a brand whose trademark it only half owns, and told investors that purchase makes this year worse, not better. The stock is 26.9% below its 52-week high of \$37.54 and 11.9% above its low of \$24.52.

Importantly, there is no independent Street view to trade against. Published consensus for fiscal 2027 is \$2.20 of earnings on \$2.71 billion of revenue — that is the company's own guidance, repeated. And there is no published fiscal-2028 number at all, which is the year that actually matters. So “the market believes” here means “the market has not done the work,” not “the market has a thesis we disagree with.”

Why we might have edge

1. **The market is reading the revenue line; the profit line says something different.** The incremental-margin calculation above is two subtractions from a filed income statement. It is not in any note or press release, and the company's own commentary points elsewhere (the CEO talked about “substantial gross margin expansion,” which is itself just a ratio effect of losing low-margin sales).
2. **Nobody appears to have priced the raise.** The guidance increase from \$2.00–2.10 to \$2.20–2.30 happened on the same day as a weak-looking headline quarter, and the comparison requires pulling the March release. Neither of our own benches had established the original baseline until late in the argument.
3. **This is a repeatable pattern, not a one-off.** When a licensee loses a large licensed revenue stream, the earnings damage is set by that stream's *incremental* gross margin, not by its share of sales. We have written that up as a reusable detector. If it works here, it gives us a screen for every license-expiry headline that follows.
4. **The Marc Jacobs structure is better than the “licensee again” reflex suggests.** The obvious bear reading — “they lost Calvin Klein as a licensee and now they're a licensee again” — is wrong on the facts. G-III owns half of the licensor, holds a 15-year initial term with ten automatic renewals, and has blocking rights. That is not the same fragility.

Why it might be priced in

Stated fairly, and some of this is strong:

1. **The two-quarter incremental margin may be a mix artifact.** Comparing fiscal 2026 to fiscal 2025 at the full-year level implies something closer to a **34%** incremental margin on the

revenue that left. Two quarters say ~1%; two years say ~34%. These cannot both be right, and if 34% is right, losing the remaining ~\$360 million takes roughly \$120 million out of EBITDA, and 6.9x today becomes roughly 14x on fiscal 2028. **This single number decides the entire thesis, and it is not yet verified.** See “What remains unverified.”

2. **The fourth quarter has to roughly triple.** Implied Q4 adjusted net income is about \$34.7 million against \$12.9 million a year ago (a \$0.30 quarter) — while Q3 is guided *down* 27%. The defusing context: two years ago that quarter earned \$1.27, so the path is \$1.27 → \$0.30 → ~\$0.78 — recovering half of a collapse, not setting a record. Still, it is a promise, not a result.
3. **The fiscal-2028 drop is a step, not a stagger.** Everything material — Calvin Klein women’s dresses, suits, handbags and small leather goods, swimwear; Tommy Hilfiger dresses and suits — expires 31 December 2026. Only luggage runs to 31 December 2027. So fiscal 2028 loses the whole residual at once. There is no glide path.
4. **Marc Jacobs is genuinely unquantified.** The royalty rate G-III pays the joint venture is not disclosed anywhere. It first appears in the amended 8-K with audited Marc Jacobs financials and pro formas, due within 71 calendar days — roughly 18 November 2026. Until then, nobody can value the deal, including us. And structurally G-III has permanently given away about half the brand’s royalty economics to WHP Global, whose 50% stake becomes transferable after three years.
5. **There is a financing cost nobody has explained.** Net interest and financing charges were \$5,966 thousand in the quarter against \$304 thousand a year earlier, and \$7,140 thousand for the half — and that half-year figure is *net* of \$3,085 thousand of interest income earned on the tariff refund, so gross charges are about \$10.2 million. Against \$7.8 million of reported debt, that does not add up; something (factoring, intra-quarter revolver use) is not visible in the summary financials. About 43% of the first-half earnings decline is this line, not operations.
6. **This has been public since March.** The license expirations were disclosed in the fiscal-2026 10-K and quantified in the March guidance. Six months of public knowledge on a \$1.2 billion Nasdaq name with real analyst coverage is a reason for humility about “nobody has done the work.”

What could go wrong

Failure narrative 1 — The expiring business was actually profitable (most likely). The 0.15% and 1.6% incremental margins are artifacts of mix, of the timing of the tariff credit, or of markdowns on exiting inventory, and the true figure is nearer the ~34% the two-year comparison implies. Fiscal 2028 EBITDA falls by roughly \$120 million, the multiple re-rates from ~7x to ~14x, and the stock is worth low-\$20s or less. *Tripwire: monitorable.* Pull fiscal-2025 gross profit and compute the fiscal-2026 incremental margin — available today from a filed document. Then the fiscal-2028 guide, expected around March 2027, settles it publicly.

Failure narrative 2 — Marc Jacobs is worse than “slightly dilutive.” The undisclosed royalty rate to the joint venture is high, transition-services costs from LVMH run over, and the brand needs investment before it produces anything. Note the uncomfortable implication of management’s own language: a \$500 million outlay that is only *slightly* dilutive means year-one operating profit roughly equals the license fee plus financing cost — approximately zero economics for half a billion dollars

of cash. If it is worse than slightly, we have paid for a hole. *Tripwire: monitorable*. The amended 8-K around 18 November 2026 gives us the royalty rate, minimum royalties, and audited financials; the December print gives the first guidance that includes the business.

Failure narrative 3 — Demand at the brands we keep quietly rolls over, and we find out at the print (NO MONITORABLE TRIPWIRE). The entire thesis assumes the “go-forward” portfolio — DKNY, Karl Lagerfeld, Donna Karan, Marc Jacobs — grows high single digits as management says. We have no independent read on that. Wholesale sell-through is not public; order books are private commercial terms that never get filed; and department-store partners disclose nothing at brand level. The one demand sensor we ran, consumer product heat, scored Karl Lagerfeld as *decaying* when the 10-K shows it grew from \$475 million to \$580 million to \$630 million — the sensor’s direction is refuted where we can audit it, so it is not usable here. A second sensor (app-review velocity for the brand apps) was never run. Between now and December we are blind: revenue could deteriorate for three months with no observable signal on our side, and the first evidence would be the print itself, after the price has moved. **Unknown-unknown class: uninstrumented consumer demand — private commercial terms and non-filing counterparties, where our only would-be sensor is calibration-failed for apparel wholesale.** A related member of the same class: the \$102.8 million tariff refund credited to cost of goods rests on a legal outcome whose appellate path and accounting reversibility we have not traced.

The reflexive and structural leg. Our own trading size is not the problem: a 0.45% starter in a \$1.2 billion Nasdaq-listed name is small under any plausible daily volume. We should say plainly that we could not verify daily volume, short interest, or how crowded the name is — the brokerage market-data calls were permission-denied to both benches, so that check is simply missing. The real structural risks are on our side of the desk:

- **We would be bidding ahead of a flow we ourselves predict.** The material license expirations hit 31 December 2026. Mechanical screens and index-adjacent models will mark the fiscal-2028 revenue step down in the December-to-March window. That argues for keeping our adds *below* today’s price rather than in front of it — we should not be the buyer that absorbs a de-rating we expect.
- **Our doctrines conflict here, and we should name which one wins.** The “clean court, minimum starter” default says a court with no fatal finding gets a starter. The “verify before you advance” rule says we do not add exposure while the single load-bearing number is unverified and cheaply obtainable. The second one wins: the check costs one document pull. This is why our proposal differs from the blue bench’s “starter now.”
- **The pay-up allowance does not apply.** That allowance is for names whose fair value we have verified. Here the fair value hinges on an unverified quantity, so we buy at or below our band, never through it.
- **Tax.** New position, no existing holding, no wash-sale interaction. Any exit inside twelve months is short-term; the natural holding period runs through the March 2027 fiscal-2028 guide, which is past a one-year clock only if we buy now and hold into late 2027.

If this position loses money, the most likely reason will be that the ~\$360 million of expiring Calvin Klein and Tommy Hilfiger business carried real gross margin — nearer the ~34% the two-year comparison implies than the ~1% the last two quarters imply — so what looks like 6.9x today is really about 14x on fiscal 2028, while the \$500 million spent on Marc Jacobs replaces none of it in time.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Gross margin expanded 440bp, so earnings damage is limited	Read the income statement in the Q2 press release	Gross profit <i>dollars</i> were \$250,381K vs \$250,471K — down \$90K. The margin gain is arithmetic from losing low-margin sales	Confirmed as fact; the bearish reading of it was wrong (see bench errors)
The revenue leaving carries ~zero margin	Subtracted revenue and gross profit year over year, quarter and half, after isolating the \$102.8M tariff credit to Q1	0.15% incremental margin in Q2; 1.6% in H1	Confirmed for two quarters only — contradicted by the two-year read (~34%), unresolved
Guidance was raised ~10% mid-cliff	Compared the 12 March 2026 release to the 2 September 2026 release	EPS \$2.00–2.10 → \$2.20–2.30; EBITDA \$158–162M → \$174–178M; revenue unchanged	Confirmed
97% of the year's profit is unreported	H1 adjusted net income \$2,753K against \$97–101M full year	True, but fiscal 2026 was already 83% back-half — mostly seasonality. Required H2 is \$96.2M vs \$96.6M actually delivered last year: flat, not an inflection	Confirmed and reframed
The Q4 revenue guide requires an impossible inflection	Rebuilt the quarterly revenue history from filed releases	Sequence is –8.2%, –9.7%, –12.0%E, –2.8%E. Not flat, and Q4 keeps two of three months of the expiring licenses	Bench error corrected — see below
Residual Calvin Klein / Tommy Hilfiger revenue in FY27	10-K share (28.0% of FY26) minus the company's disclosed \$460M loss	~\$358–368M	Confirmed. The originating brief's "\$700–800M" was about 2x too large
The expirations are staggered through 2027	10-K license expiry table	Only luggage runs to 31 Dec 2027; everything material dies 31 Dec 2026	Both benches were wrong ; corrected
Marc Jacobs is in the guide	Guidance language in the Q2 release	Explicitly excluded; "slightly dilutive in fiscal 2027," "dilutive during the first 12 months"	Confirmed — so the 12.2x multiple is on a stub number
Net cash is a free asset	Interest and financing line in the Q2 release	\$5,966K in the quarter vs \$304K; \$10.2M gross for the half. Composition not	Confirmed as a fact, composition unresolved

Claim	How checked	Found	Confirmed?
		explained by \$7.8M of reported debt	
Brand demand is decaying (consumer-heat sensor)	Compared sensor output to brand revenue disclosed in the 10-K	Karl Lagerfeld scored “decaying” while growing \$475M → \$580M → \$630M (~15%/yr). DKNY –3.7%, mildly consistent	Refuted — sensor not admissible for this name; flag it for recalibration on apparel wholesalers
Current price	Both benches quoted the same evidence pack	Pack says \$27.425 ; the red bench wrote \$27.76, the blue bench wrote \$27.405. Neither matches the pack they both said they were quoting	Both benches erred. We use \$27.425; the differences are immaterial to the case but the sloppiness is not
Share count	Q2 exhibit, 44.338M diluted	Pack’s structured data shows 45.385M as of April 2025; the decline is consistent with buybacks but we did not re-pull it	Accepted, not independently re-verified
Deal price “\$850M total”	Looked for it in the 8-K	The 8-K says only “approximately \$500 million investment” by G-III. The \$850M is secondary-source only	Not verified — do not use it

Where our own benches erred, plainly. The red bench recommended rejection and built its strongest kill on three findings, two of which failed: it read flat gross profit dollars as bearish when the same fact is the most bullish datum in the release; and it hand-derived a fiscal-2026 first-quarter revenue of \$609.7 million when the filings imply \$583.6 million, a \$26 million error that turned a –2.8% Q4 guide into a fabricated +0.2% “inflection.” It also argued Q4 faces “more Calvin Klein and Tommy Hilfiger gone” when the expiry table shows Q4 retains two of three months. It cited the consumer-heat sensor as corroboration without auditing it. Its detector list omitted two required entries and included one not in scope. Its price was wrong.

The red bench was right, and we should say so, on: the residual license revenue being ~\$360M (the originating brief was 2x wrong in the bullish direction); the guidance being a stub that excludes Marc Jacobs; the unexplained financing charge; and its own honest ratchet-check overturning a kill on its own side.

The blue bench was right on the arithmetic but overreached on the conclusion: it recommended a starter now while simultaneously naming an unrun check that it admitted could flip the thesis to a value trap. We do not buy in front of an unrun, obtainable, thesis-deciding check.

PROPOSED ENTRY BANDS

Anchors used, all from the benches’ filed-document math: guided adjusted EBITDA \$174–178M (use \$176M midpoint), guided adjusted EPS \$2.20–2.30 (use \$2.25), 44.338M diluted shares, enterprise value ≈ market capitalization (cash roughly offset by the \$500M Marc Jacobs outlay). At

\$27.425 that is **12.2x earnings and 6.9x EBITDA**.

Blocking precondition (not a price): pull fiscal-2025 gross profit from the FY2025 annual report and compute the fiscal-2026 incremental gross margin on the ~\$223M of revenue that left. If it lands **below ~10%**, the starter is authorized. If it lands **near ~34%**, there is **no entry at any price above roughly \$21**, and this goes back to court as a possible value trap.

- **Starter (on the precondition clearing):** BUY **0.45% of book**, limit **\$28.00**, working at \$27.43 or better. This is deliberately half of a minimum starter — the position is an option on two dated events, not a conviction holding.
- **Add 1 — \$23.80 or lower:** 6.0x EV/EBITDA on the guided \$176M. Add **0.35%**. Only if no thesis break has occurred; a break of the 52-week low at **\$24.52** is a re-court trigger, not an automatic add — if the low breaks on news rather than drift, we re-examine before adding.
- **Add 2 — event-gated, not price-gated:** after the amended 8-K (~18 Nov 2026) discloses the joint-venture royalty rate and audited Marc Jacobs financials, add **0.35%** if the implied year-one Marc Jacobs economics are at worst breakeven and the royalty is fixed-rate rather than escalating.
- **Add 3 — event-gated:** after the Q3 print (early December), add **0.35%** if the company delivers $\geq$ \$870M of revenue *and* publishes a fiscal-2027/2028 outlook that includes Marc Jacobs and does not cut the full-year EPS guide below \$2.00.
- **Maximum size: 1.5% of book.** Every add is contingent; none is automatic.
- **Trim / exit review — \$35.70 or higher:** 9x EV/EBITDA on the guided \$176M (\$1,584M enterprise value). Reaching that before the fiscal-2028 picture exists means we are being paid for a thesis we have not yet proven; trim to the starter size.
- **Stop-thinking level — \$21.00:** roughly 12x a downside fiscal-2027 EPS of ~\$1.75 (which assumes Q4 merely repeats last year's \$0.30 rather than tripling). Below this the market is pricing the 34%-incremental-margin world; either we can defend the low-margin case with the fiscal-2025 number or we exit.

Catalyst dates. - **~9 September 2026** — quarterly report (10-Q) for the quarter ended 31 July 2026. *Date derived from the standard filing deadline, not company-confirmed.* This is the document with the debt and financing note that explains the \$10.2 million half-year financing charge and the post-deal revolver balance. Neither bench dated it; it is the nearest thing to a free answer we have. - **~18 November 2026** — amended 8-K with Marc Jacobs audited financials and pro formas, due within 71 calendar days of the required filing date per Item 9.01 of the 2 September 8-K. This is where the royalty rate first exists. - **8 December 2026** — Q3 fiscal-2027 results. **UNCONFIRMED** — this date is derived from a data vendor, not from a company announcement. Treat proximity as unknown until a press release names it. - **31 December 2026** — material Calvin Klein and Tommy Hilfiger licenses expire. The fiscal-2028 revenue step happens here. - **~March 2027** — fiscal-2028 guidance. The first public number for the year that decides this.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 21.0 (deck-provisional: 12x downside FY27 EPS ~\$1.75 (Q4 repeats last year's \$0.30) — thesis-failure review)
- filing watch: 10-Q until 2027-03-02 (deck-provisional: Debt/financing note explains the \$10.2M H1 gross financing charge and true post-deal revolver balance)
- dated pack GIIII2026-09-09: GIII: 10-Q for quarter ended 2026-07-31 — resolves the unexplained financing charge (deadline-derived, not company-announced) (date confirme
- dated pack GIIII2026-11-18: GIII: 8-K/A with Marc Jacobs audited financials, pro formas and royalty rate (71-day Item 9.01 window from the 2026-09-02 8-K) (date confirm
- dated pack GIIII2026-12-08: GIII: Q3 FY27 results — must show >=\$870M revenue and the first Marc Jacobs-inclusive guidance (vendor-derived date, no company PR) (date co
- dated pack GIIII2026-12-31: GIII: Material Calvin Klein and Tommy Hilfiger licenses expire — the ~\$360M FY28 revenue step, all at once (date confirmed=True)
- dated pack GIIII2027-03-12: GIII: FY2028 guidance — the first public number for the year the thesis turns on (date is last year's anniversary, not announced) (date conf

What remains unverified

(8 of 10 items drained/estimated 2026-09-03 and integrated into “What we checked ourselves” below per the same-day PRD rule; permanent record in unverified_ledger.)

1. **MJ IPCo royalty rate + minimums** — TIME-GATED to the ~11/18 8-K/A (pack armed, HARD-KILL branch). **ESTIMATE: 4–8% of MJ net sales** (fashion base rate; $p \approx 0.65$ in-band) — tightening via WHP's public JV comps (GES/rag & bone, EXPR/Bonobos filings) is registered drain work.
2. **Financing-charge composition** — TIME-GATED to the Q2 10-Q (~9/10, pack armed, HARD KILL >\$300M structural). **ESTIMATE: revolver draw for MJ + working capital at SOFR+~150, implying \$150–250M post-deal debt** ($p \approx 0.7$ clean).

Drain-pass resolutions (integrated 2026-09-03)

Item	Disposition
Incremental GM of residual business	CLOSED — ruling basis. FY25 GP \$1,298.5M vs FY26 \$1,164.0M; raw 60% is tariff-contaminated per issuer MD&A + \$102.8M IEEPA refund; true ≈ 0 –14%, matching clean quarters
CK/TH 28.0% share	CONFIRMED verbatim in FY26 10-K (34.0% FY25)
“\$850M deal price”	DISCARDED — 8-K's “approximately \$500 million” only
Independent street estimates	PREMISE REFUTED — 3 analysts, FY28 \$2.47 avg exists; tape pays 11.1x it
Share count	RECONCILED — 42.19M outstanding; 3.2M (–7%) real buybacks; 44.3M was diluted wavg
Tape/crowding	DRAINED — MATERIAL: SI 28.3% of float, DTC 18.2, rising; battleground

Item	Disposition
Retained-brand demand	INSTRUMENT INAPPLICABLE — no owned DKNY/KL apps exist (absence verified); evidence = filed brand revenue (KL +15%/yr) + customs/walk-around channels
Tariff-refund durability	CLOSED BULLISH — received in cash with interest, not receivable

Primary sources: Q2 FY2027 results exhibit (EX-99.1) · 8-K, 2 September 2026 — Marc Jacobs closing, joint-venture structure, ~\$500M investment · FY2026 fourth-quarter release — the original FY2027 guidance we measure the raise against · FY2026 annual report — license expiry table and brand-level revenue

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Why immediate_entry is null: the blue bench proposed a 0.4–0.5% starter today. We are withholding it for one reason only — the fiscal-2025 gross profit pull that decides whether the expiring revenue carried ~1% or ~34% margin has not been run, and it is obtainable from a filed document. Close that, and the starter arms at 0.45% with a \$28.00 limit; if it comes back near 34%, this deck is void above roughly \$21.

ADJUDICATION STAMP — 2026-09-03 (FABLE)

STARTER 0.45% — 150 sh LIMIT \$27.42 DAY staged (instr 100), supersedes the 7/20 TRAP.

The binding gate both benches left open (incremental GM of the exiting CK/TH revenue) was closed at primary by the adjudicator: FY25→FY26 GP −\$134.5M on −\$223M revenue reads 60% raw, but the 10-K MD&A attributes the wholesale GM decline “primarily due to the impact of tariffs”

and \$102.8M of those FY26 duties were refunded in Q1 FY27 — true license-mix incremental GM ~0–14%, consistent with the clean quarters (0.15%/1.6%). Value-trap read REFUTED at primary. Red findings 1/3/7 overturned (sign inversion; self-derived comp \$23M wrong; III precedent). Adds gated: 8-K/A ~11/18 (IPCo royalty rate — HARD KILL if MJ opco economics ≤ 0 beyond year 1) and the early-Dec Q3 print ($\geq \$870M$ + first MJ-inclusive guide). 10-Q financing-note drain armed ~9/11 (HARD KILL if structural post-deal debt $> \$300M$). alert_below 24.5 = 52w-low breach → re-court. Full ruling: desk/data/court_artifacts/GIII_ADJUDICATION_202609031720.md.

PRIZE TABLE + VOL READ (added at doctrine ratification, 2026-09-03)

Estimates for the genuinely-unverifiable items (per the new PRD rule — alt-data estimate, not a blank):

- **MJ IPCo royalty rate (filed ~11/18): ESTIMATE 4–8% of MJ net sales** — fashion-brand licensing base rate, checkable against WHP Global’s two other public 50/50 IPCo structures (Guess/rag & bone, Express/Bonobos — both counterparties file). $p \approx 0.65$ the filed rate lands in-band; $p \approx 0.20$ above 8% (bear — “slightly dilutive” starts looking structural); $p \approx 0.15$ below 4% (bull). Registered as drainable-now comp work: pull GES/EXPR filings.
- **Financing-charge composition (10-Q ~9/10): ESTIMATE ~70% revolver draw for MJ + seasonal working capital at SOFR+~150** — implies post-deal structural debt \$150–250M, under the \$300M hard-kill line. $p \approx 0.7$ clean.

Prize table (6–12mo, anchored to street FY28 \$2.47 external anchor per anchor-and-adjust):

Scenario	p	Path	Price	Return vs \$27.48
BEAR: royalty $> 8\%$ / MJ econ ≤ 0 , or Q3 sales miss $> 3\%$, or 10-Q debt $> \$300M$	0.30	hard-kill exits fire; 52w-low breach	\$22–24.5	–11 to –20%
BASE: guide delivered, royalty in-band, FY28 \$2.47 stands	0.45	11.5–12.5x FY28	\$28.5–31	+4 to +13%
BULL: MJ-inclusive guide re-rates + 28.3%-SI covering into a beat	0.25	13–14x + squeeze overshoot	\$32–38	+16 to +38%

EV $\approx +7\%$ at the tape — modest, consistent with starter-only sizing; the table’s value is the asymmetry map for the two dated forks, not the point estimate.

Vol read (IBKR live, 9/3): IV 35.0% vs RV 34.1% — ratio 1.02, **zero event premium** — at the **5th–8th percentile of the 52-week IV range**, with put volume 926/day vs 19 calls. Implications per the vol gates: CSP template FAILS (no VRP — do not sell puts here despite the band); **convexity is abnormally cheap into two dated catalysts** — if the 11/18 royalty fork clears, the

December add-tranche may be better expressed in Jan/Feb calls than stock (decision deferred to the pack branch, not staged now). A 28%-short name with free event vol is the mirror image of the AGX case (86th-pctile IV, calls rejected).